QUESTIONS OVER THE HIGH GDP NUMBERS

Critics say revisions to past GDP data have made the latest growth rate look stronger than it is; Centre denies any manipulation

The Q1 GDP numbers have sparked a fierce debate among economists, with some questioning the methodology used to arrive at the figures and whether they adequately reflect economic realities, particularly when it comes to jobs and incomes. The Congress has also alleged that the GDP numbers are "fudged".

To understand the dispute, it helps to distinguish between nominal GDP and real GDP. Nominal GDP measures the value of goods and services at current prices, including the effect of price changes. Real GDP strips out these price changes to show how much the economy has actually grown in terms of output. The government arrives at real GDP using a 'GDP deflator', or implicit price deflator, which measures the overall change in prices by comparing GDP at current prices with GDP at base-year prices. It helps distinguish how much of the increase in the value of output is due to higher prices rather than increased production. For Q1FY27, this put nominal GDP growth at 10.3 per cent; real GDP growth at 7.8 per cent.

Subhash Chandra Garg, former Union finance secretary, has questioned the figures, arguing that the government revised the previous year's GDP numbers downward to artificially inflate this year's growth rate. If this had not been done, "real growth" would have been only 2.6 per cent, he said. "The government said on August 30 that the GDP at current prices for the first quarter of the past fiscal (Q1FY26) was Rs 86 lakh crore (in absolute terms). That GDP has been reduced to Rs 80 lakh crore. That gives the current increase of 10.3 per cent," he said. If the government had retained the earlier Rs 86 lakh crore figure, he argued, growth would have been only 2.6 per cent. "The question we are all raising is, how come Rs 86 lakh crore became Rs 80 lakh crore?" he said, adding that a Rs 6 lakh crore difference in a GDP estimate was large and unprecedented.

THE CENTRE SAYS THE REVISIONS STEM FROM A NEW GDP SERIES, UPDATED DATA AND CHANGES IN METHODOLOGY

Gourav Vallabh, a part-time member of the PM's Economic Advisory Council, countered this, pointing to the change in the base year used to calculate GDP from 2011-12 to 2022-23. Effected this February to reflect structural shifts in the economy, it also brought changes to the underlying data and methodology.

"The GDP data that was released in August was the first advance estimate. In November 2026, for the same quarter, there will be a second advance estimate...this is the process," he said. "How can we measure the denominator in a different base year, and then say India's nominal growth rate is some 2 per cent or the real growth rate is zero per cent? That is not factually correct."

The Centre, too, maintained that there was no deliberate downward revision of Q1FY26 GDP to "mechanically increase" the Q1FY27 growth rate to 7.8 per cent.

Garg, however, argued that the issue was not simply the change in the base year. "The enormity of that change in value was the key issue, and it needs to be explained why what counted as production value earlier did not count so now. This is a very serious matter." He also questioned the negative deflator for manufacturing in Q1FY27 despite an increase in both manufacturing output and input prices.

The Centre has defended the negative implicit price deflator for manufacturing, saying it reflects the fact that input prices increased faster than output prices. It also clarified that it had used the 'double-deflation approach', an internationally accepted method in which the prices of manufacturing output and the intermediate inputs used to produce it are adjusted separately. Real gross value added (GVA) is then calculated by subtracting the inflation-adjusted value of intermediate consumption from the inflation-adjusted value of output. ■

compared with 109 per cent a year earlier. Kharif sowing was consequently 22.7 per cent lower y-o-y as of June 25.

Crisil has raised its GDP growth forecast for FY27 to 7 per cent from 6.6 per cent following the stronger-than-expected first quarter. Pranjul Bhandari, chief India economist at HSBC, nevertheless expects some moderation ahead. "Even as GDP growth has held up well thus far, some softening could be in order, led by a high base over the remaining quarters of the year, some softening in public capex (to meet fiscal deficit targets), the impact of weak sowing (and deficient rains), the petering out of the GST rate-cut impact, and the ending of manufacturing frontloading (that has led to a 10-year high in the stock of finished goods)," she says.

The first-quarter numbers offer a measure of confidence, but the months ahead will test how much of the economy's momentum can be sustained as some of its current supports begin to gradually fade. ■